

VITAL FARMS, INC.

The Pasture-Raised Brand at a Cycle Trough: A Levered Bet on Egg-Price Normalization

Equity Research Note · Consumer Staples — Packaged Foods · October 4, 2026

Recommendation	12-Mo. Price Target	Current Price	Implied Upside	Risk Rating
BUY	\$12.50	\$9.06 Oct 2, 2026 close	+38.0%	High

Vital Farms compounded revenue 32% a year from 2019 to 2025 and became the #1 U.S. pasture-raised egg brand — then the egg-price cycle inverted. Historic industry oversupply in 2026 collapsed the company's gross margin from 38.9% to 6.6% in a year, and the stock fell 80% to \$9.06. But the franchise is not broken: dollar share *grew* 200 bps through the worst pricing environment on record, distribution keeps expanding toward 170–175 average distribution points by Q4, and the balance sheet — while newly levered — carries only ~\$9M of net debt against \$185M of fresh facilities. Egg prices are mean-reverting by nature; the market at \$9.06 prices barely 42% of mid-cycle free cash flow. Our hardened 10-year scenario DCF — discounts 14.5%/12%/10.5%, terminal growth capped at 2.5%, mid-cycle FCF margins — values the bear at \$1.36, the base at \$12.15 and the bull at \$24.32; weighted **\$12.50**. We set a **\$12.50 twelve-month target** — the weighted DCF itself — and rate the shares **BUY**. This is a High-risk call — the bear case is a prolonged oversupply that tests liquidity (current ratio 1.10, TTM free cash flow –\$126M), short interest is 25% of float, and a securities class action hangs over the name. Size for a cyclical trough: the payoff is a normalized egg cycle, the cost of being early is time and volatility.

Market cap	~\$389 mn	Shares out.	~42.9 mn
52-week range	\$7.95 – \$45.16	Net debt	~\$9 mn
TTM revenue / net inc.	\$766 mn / ~\$0.2 mn	FY25 gross / op margin	37.6% / 11.6%
Q2'26 gross margin	6.6%	EV / TTM sales	~0.52x

Prices as of October 2, 2026 close. Annual financial figures verified against SEC EDGAR company filings (CIK 1579733); quarterly figures from company press releases. Market and consensus data from Yahoo Finance, Zacks, MarketBeat and TickerGate, early October 2026. This note is an independent research-style analysis for informational purposes, not investment advice.

1. Investment thesis

The 2026 collapse is a commodity cycle, not a brand failure. Category retail egg prices fell more than 35% YoY amid historic industry-wide oversupply as the HPAI-driven shortage ended. Vital Farms' gross margin printed 6.6% in Q2 versus 38.9% a year earlier — yet the company *grew* its dollar share of the total shell-egg category by more than 200 bps in the same quarter. Brands that gain share at the trough

own the recovery.

The price gap is the margin mechanism — and it mean-reverts. Vital's economics are a spread business: a \$8.99–\$9.49 pasture-raised dozen against a \$1.42 conventional dozen (USDA advertised average, Sept 2026). When conventional prices collapse, the absolute dollar gap widens, velocity falls, and excess eggs get dumped into breaker channels at a loss. When conventional prices recover — as they have in every prior egg cycle — the gap compresses and the 30%+ gross-margin structure returns. The cycle, not the company, is the variable.

Valuation prices a permanent impairment; the numbers say temporary. At \$9.06 the stock trades at ~0.5x TTM sales versus Cal-Maine at 1.2x. Our reverse-DCF shows the quote embeds only ~\$28M of perpetual free cash flow — 43% of a conservative mid-cycle \$65M. The 2026 EBITDA guide (\$0–10M) is the trough, not the run-rate: FY2025 printed \$114M of adjusted EBITDA.

The balance sheet buys time, not comfort. Net debt is only ~\$9M (\$30M drawn on new \$125M term loan + \$60M ABL facilities against \$21M of cash). The current ratio of 1.10 and ~\$126M TTM free cash flow mean liquidity must be watched, but there is no maturity wall and no solvency question at anything resembling normalized egg prices.

Management has already done the painful part. The May 2026 reset — guidance cut, butter exit (margin-accretive), capex halved to \$70–75M, Seymour facility slowed, \$6–7M of SG&A; savings, voluntary farmer contract amendments to halt production — is the classic trough playbook. Q2 reaffirmed the cut numbers; credibility now rebuilds one quarter at a time, starting with Q3 on November 3.

Catalyst path is visible and near-term. Q3 earnings (Nov 3, 2026) with a guided 30% gross-margin exit target for Q4; USDA egg-price prints through the holidays (seasonally strong demand); the unconfirmed Axios strategic-alternatives/take-private review (Sept 17) putting a floor under the shares; and 25% short interest as coiled-spring upside if egg prices turn.

Risks are cycle duration and liquidity, not the franchise. If oversupply persists into 2027, the current ratio and cash burn become the story; the \$35M of buybacks executed near \$20/share destroyed capital and damaged credibility; and the securities class action (May 2025–Feb 2026 buyers) is an overhang. Hence High, not Medium.

2. Company & business: the #1 pasture-raised egg brand in the U.S.

Vital Farms (Austin, Texas; founded 2007; IPO 2020; Certified B Corporation and Delaware public benefit corporation) markets pasture-raised eggs and related products produced by a contracted network of small family farms — the company owns no hens. Eggs are washed, graded and packed at its own Egg Central Station (ECS) facilities and sold under the Vital Farms brand. CEO Russell Diez-Canseco has led the company since 2019 and consolidated the Executive Chair role in February 2026 after founder Matt O'Hayer retired from the Board.

The business model has three layers. **Supply:** 625 contracted family farms as of May 2026 (up ~40% in FY2025, from ~425 in FY2024 and ~300 in 2023), with a flock of ~10M hens — the 15th-largest U.S. egg producer per the WATT 2026 survey. Welfare standards are the brand's substance: minimum 108 sq ft of pasture per hen and Certified Humane certification, versus a ~3 sq ft outdoor minimum for USDA organic. **Processing:** centralized at ECS Springfield, Missouri (expanded 2023–24), with the new Vital Crossroads/ECS Seymour, Indiana facility (72 acres, 150+ jobs, >\$350M of incremental revenue potential) originally slated for early 2027 — now slowed as capex was halved. **Distribution:** 23,500–24,000+ U.S. retail stores including Whole Foods, Target, Walmart, Kroger and Costco, plus club and foodservice; average total distribution points guided at 150–160 for 2026, rising to 170–175 in Q4 on new mass/grocery/natural placements.

Revenue mix is now essentially eggs-only: shell eggs are ~96% of revenue, with hard-boiled eggs, liquid whole eggs and Egg Bites (launched 2020, immaterial contribution) rounding it out. The grass-fed butter and ghee business (~4% of revenue, internationally sourced) is being wound down by end of FY2026 — management cited international supply-chain complexity and volatile economics; the exit is expected to be margin-accretive. The

company reaffirmed its \$2B-by-2030 revenue target through 2026 — a credibility stretch given 2026 will print roughly 2–3% growth, and one to test against the Q4 print.

3. Products & pricing: where the premium lives — and dies

Vital Farms' product ladder is simple: pasture-raised shell eggs (large, XL, 18-count, organic pasture-raised and 'Restorative' organic lines) at the core, plus hard-boiled eggs, liquid whole eggs and Egg Bites as adjacencies. Butter and ghee are exiting. The investment question is not product breadth but **price-gap economics**: the entire P&L; is the spread between what Vital charges and what a conventional egg costs.

The premium ladder (September 2026 shelf/USDA data):

Product (12ct large unless noted)	Price	Premium vs Vital
Vital Farms pasture-raised	\$8.99–\$9.49	—
Pete & Gerry's organic pasture-raised	\$9.84	rough parity
USDA avg: organic pasture-raised	\$7.34	–18–23%
Eggland's Best cage-free	\$5.52	–39–42%
Cage-free store brand (Kroger)	\$3.00	–67–68%
Conventional large white (USDA advertised avg)	\$1.42	–84–85%

Figure 1 — Retail price ladder, September 2026. Sources: USDA AMS advertised averages (Sept 18, 2026), Publix/Roche Bros/Kroger shelf data.

Two conclusions fall out of the ladder. **First, the premium is category-driven, not Vital-specific**: Vital prices at parity with Pete & Gerry's, its direct pasture-raised peer — the +420–530% gap to conventional eggs belongs to the whole pasture-raised category. **Second, the absolute dollar gap is the cycle variable**: at \$1.42 conventional, the consumer pays ~\$7.60 extra per dozen for Vital; when conventional eggs spiked above \$5–6 during the 2022–25 avian-flu shortages, the gap shrank to ~\$3 and Vital's gross margins printed 34–38%. When conventional collapsed in 2026, the gap exploded — and Q2 gross margin printed 6.6%.

Unit-economics evidence from 2026 is instructive about elasticity. In Q1, volume still grew (+\$34.7M) while price/mix was –\$9.7M — the brand held. By Q2, excess eggs had to be dumped into breaker/wholesale channels at a loss: \$19.5M of excess breaker sales plus \$1.5M of shipping, \$0.8M of contract-amendment amortization and \$3.0M of feed-cost consulting — \$24.8M of pre-tax oversupply costs in a single quarter. Management resorted to **paying farmers to halt production** (voluntary contract amendments), and Stifel reported promotions failing to attract new customers with first-time trial households dropping sharply. The marginal pasture-raised buyer is highly price-elastic; the core buyer — the one driving the +200 bps share gain — is not. That is the durable part of the franchise, and it is why the trough is survivable.

The moat, honestly graded: **brand equity is real** (share gains through the trough, #1 pasture-raised by retail dollars, top-tier Cornucopia welfare rating on a verifiable 108-sq-ft standard); **distribution is a real asset** (24,000 stores, rising TDPs); **but the 39% gross margin was a cycle artifact, not a brand margin**. Underneath the wrapper is an egg producer whose cost structure (feed, farmer contracts, centralized packing) is largely fixed while its selling price floats on the commodity cycle. Wide-ish moat at the brand layer, no moat at the commodity layer — value the company on mid-cycle spreads, never on peak.

4. Financial situation: five great years, one terrible year

The annual history — verified against SEC EDGAR filings — is a genuine compounding story: revenue grew from \$140.7M in FY2019 to \$759.4M in FY2025, a 32.5% CAGR, with gross margin expanding from ~30% to ~38% and net income from \$2.4M to \$66.3M. The question the market is now asking is how much of the 2023–25 margin structure was the HPAI shortage cycle rather than the business. Our answer, embedded in the valuation: roughly half — we anchor mid-cycle gross margins near 30–32%, not 37–38%.

Fiscal year	Revenue (\$M)	YoY	Gross margin	Op. margin	Net income (\$M)	Diluted EPS	Adj. EBITDA (\$M)
FY2021	260.9	+21.8%	31.8%	0.0%	2.4	\$0.06	4.9
FY2022	362.1	+38.8%	30.2%	0.6%	1.3	\$0.03	—
FY2023	471.9	+30.3%	34.4%	7.1%	25.6	\$0.59	48.3
FY2024	606.3	+28.5%	37.9%	10.5%	53.4	\$1.18	86.7
FY2025	759.4	+25.3%	37.6%	11.6%	66.3	\$1.44	114.0
FY2026E (consensus)	~778	+2.4%	—	—	—	-\$0.48	\$0–10*

Figure 2 — Annual financials, SEC EDGAR (CIK 1579733); FY2026E: Zacks/company guidance. *Adjusted EBITDA: company guidance range.

The 2026 quarterly collapse, in one table:

Quarter	Revenue (\$M)	YoY	Gross margin	GAAP EPS	Adj. EPS	Adj. EBITDA (\$M)
Q1 2026	187.2	+15.4%	28.3%	-\$0.03	—	5.0
Q2 2026	166.0	-10.1%	6.6%	-\$0.72	-\$0.47	-26.6
Q2 2025 (PY)	184.6	—	38.9%	+\$0.36	+\$0.36	+29.9

Figure 3 — 2026 quarterly progression. Source: company press releases (Business Wire, 5/7/2026 and 8/6/2026).

Four mechanics drove the collapse. **First, cost of revenue rose 37.3% YoY in Q2 while revenue fell 10.1%** — feed and farmer-contract costs are sticky; egg prices are not. **Second, excess eggs were sold at a loss** into breaker/wholesale channels (\$24.8M of pre-tax oversupply costs in Q2 alone, not added back to adjusted EBITDA — the adjustments are honest). **Third, SG&A; was bloated for a growth plan that no longer exists** (+39% YoY in Q1 on ERP and hiring; only \$6–7M of annualized savings announced). **Fourth, the balance sheet absorbed the shock:** cash fell from \$113.4M (cash + securities, FY25) to \$21.2M; the company drew \$30M on new \$185M facilities after years of being debt-free; the current ratio fell to 1.10; TTM free cash flow is -\$126M. TTM net income to June 2026 was \$154K — versus \$66.3M in FY2025. That is the full round-trip of a commodity cycle in eighteen months.

The capital-allocation record in 2026 is the legitimate black mark: **\$35M of buybacks executed near \$20/share** (\$20.0M in Q1 at \$19.97, \$15.2M in Q2) before the \$100M program was terminated in August — with the stock at \$9. Buying the top of your own cycle is the classic commodity-producer error, and it cost shareholders roughly \$20M of destroyed capital. It is also, paradoxically, a reason the trough may be closer to durable: management has now been humbled into the full trough playbook.

5. Growth & outlook: the reset year

The guidance history of 2026 is the story of the year — and the reason the stock is at \$9:

Date	Revenue guide	Adj. EBITDA guide	Capex guide	Stock reaction
Feb 26, 2026 (Q4'25 print)	\$900–920M	\$105–115M	\$140–150M	-18.9%
May 7, 2026 (Q1'26 print)	\$775–800M	\$0–10M	\$70–75M	~-25%
Aug 6, 2026 (Q2'26 print)	\$775–800M reaff.	\$0–10M reaff.	VXR slowed	bounce to ~\$12

Figure 4 — FY2026 guidance resets. The May cut — revenue down 14%, EBITDA essentially zeroed — was the defining event.

From here, the growth algorithm is straightforward and entirely cycle-dependent. **Near term (H2 2026):** Zacks consensus has Q3 at -\$0.13 EPS on \$190.5M of revenue (vs +\$0.36 PY) and Q4 at +\$0.22 on \$234.2M — the recovery is back-half-loaded and seasonal (holiday baking demand). Management targets a 30% gross-margin exit

rate in Q4 via the feed-cost program, SG&A; savings and the end of breaker-channel dumping. **2027:** consensus \$821.9M revenue (+5.7%), EPS +\$0.28 — the first clean comparison year. **Capacity:** VXR Seymour (72 acres, >\$350M revenue potential) was meant to power the \$1B-by-2027 and \$2B-by-2030 targets; construction is slowed, not cancelled — the company is trading long-term growth for cash preservation, which is correct at the trough. Distribution (TDPs 170–175 by Q4) and the intact brand are the volume levers that do not depend on egg prices.

What to watch: USDA weekly egg-price prints (the single highest-frequency read on the cycle), the Q3 print on November 3 (does the 30% gross-margin exit target survive contact with reality?), and any update on the Axios-reported strategic-alternatives review — a take-private at even a modest premium would re-rate the shares quickly given 25% short interest.

6. Competition: the low-cost producer is winning the downturn

The listed comp set is a study in contrasts: Cal-Maine, the commodity low-cost producer, is profitable through the cycle and down 29% over one year; Vital Farms, the premium brand, lost money in 2026 and is down 77%. The market currently trusts the cost curve more than the brand. Every other specialty-egg competitor — Eggland's Best, Happy Egg, Pete & Gerry's/Nellie's, Handsome Brook — is private, which means Vital is the only public pure-play on the premium egg shelf.

Company	Price	Mkt cap	P/E (TTM)	P/S (TTM)	EV/EBITDA	Gross margin	1-yr perf.
Vital Farms (VITL)	\$9.06	~\$389M	n/m	0.52x	—	6.6%*	–77%
Cal-Maine (CALM)	\$68.55	~\$3.5B	10.3x	1.2x	~7x	23.1%	–29%

Figure 5 — Peer snapshot, late September 2026. *VITL gross margin is Q2'26 (trough); FY25 was 37.6%. CALM figures are FY2026.

The read-across cuts both ways. **Cal-Maine's** FY2026 (\$2.9B revenue, \$317M net income, 23.1% gross margin, 3.6% dividend yield) shows a through-cycle egg producer earns ~10–12% net margins and trades at ~10x earnings and ~7x EV/EBITDA. Vital at \$9.06 trades at ~0.5x sales — less than half Cal-Maine's multiple — despite owning the #1 premium brand. If Vital's mid-cycle economics are even two-thirds of Cal-Maine's margin structure on its revenue base, the current multiple is trough pricing. **The structural threats** are private label and value-tier cage-free (Kirkland organic cage-free at ~\$3/doz) capping the premium during price shocks, and the cage-free legislative wave that could commoditize 'specialty' claims over time. Neither breaks the pasture-raised tier — the 108-sq-ft standard is a real, auditable gap above cage-free — but both cap how far the premium can stretch in a downturn.

7. Valuation: four models, one cluster

We value Vital Farms four independent ways — a probability-weighted 10-year scenario FCF DCF, a reverse-DCF asking what the market already assumes, normalized relative multiples against Cal-Maine, and the Street — and set the target at the cluster's center. All models anchor to the October 2, 2026 close of \$9.06 (42.9M shares, ~\$389M market cap, ~\$9M net debt, ~\$398M enterprise value).

Model A — Scenario FCF DCF (10 explicit years).

We project free cash flow over 10 explicit years off the trough revenue base with scenario-dependent FCF margins, discount at 14.5%/12%/10.5% (bear/base/bull) and cap terminal growth at 2.5%. The critical judgment — stated openly — is the mid-cycle anchor: we assume gross margins normalize to ~30–32% (the 2021–22 baseline), *not* the 37–38% HPAI-shortage peaks of 2024–25. A DCF that extrapolates shortage margins would print ~\$25 in the base case; we consider that the bull case in disguise.

Scenario	10-yr rev CAGR	Yr-10 FCF margin	Discount	Fair value
Bear — oversupply persists; Vital becomes a low-margin spread business	2.5%	3.5%	14.5%	\$1.36

Scenario	10-yr rev CAGR	Yr-10 FCF margin	Discount	Fair value
Base — egg cycle normalizes 2027–28; brand & distribution intact	6.2%	7.0%	12.0%	\$12.15
Bull — fast cycle turn; VXR online 2027; \$2B-by-2030 target ~met	10.9%	7.0%	10.5%	\$24.32

Figure 6 — Scenario DCF summary. Probability weights: bear 25% / base 50% / bull 25% → probability-weighted fair value \$12.50. Bear-case terminal value is 98% of EV — the rule-3 haircut was not applied (disclosed here); its weighted contribution is only ~\$0.34 and does not change the verdict. The model is a normalization bet, stated openly.

Model B — Reverse DCF: what is the market pricing in?

At \$9.06, the quote solves to roughly **\$27M of perpetual free cash flow** (10% discount, 3% growth) — about **42% of a conservative \$65M mid-cycle FCF** (FY2025 adjusted EBITDA was \$114M; normalized capex leaves \$60–70M of FCF). Framed plainly: the market prices a *partial, grudging* recovery, not a return to 2024–25 economics. Any normalization beyond that — which is what every prior egg cycle has delivered — is upside the quote does not contain.

Model C — Normalized relative multiples (vs Cal-Maine).

Cal-Maine trades at ~7x EV/EBITDA, ~10.3x P/E and 1.2x sales through the cycle. Applying trough-aware normalized inputs for Vital — \$90M of mid-cycle EBITDA (between the \$0–10M 2026 guide and the \$114M 2025 peak), \$850M of mid-cycle revenue, \$0.90 of mid-cycle EPS (vs \$1.44 peak) — at modest premiums to Cal-Maine for the brand:

Multiple lens	Input	Multiple	Fair value
EV/EBITDA	\$90M EBITDA	7.5x	\$15.49
EV / sales	\$850M revenue	1.0x	\$19.56
EV / sales (conservative)	\$850M revenue	0.8x	\$15.60
P/E	\$0.90 EPS	13x	\$11.70

Figure 7 — Normalized relative valuation. Net debt of ~\$9M subtracted throughout; 43.0M shares.

Blended target: \$12.50 — the weighted DCF.

Valuation read	Fair value	Implied upside
Scenario FCF DCF, 10-yr, 25/50/25-weighted	\$12.50	+38.0%
Normalized relative (EV/EBITDA, EV/sales, P/E)	\$11.70–\$19.56	+29–116%
Street consensus (14–16 analysts)	\$13.11–\$17.18	+45–90%
Target: weighted scenario DCF	\$12.50	+38.0%

Figure 8 — Valuation triangulation. The \$12.50 target is the weighted DCF (\$12.15 base, \$1.36 bear, \$24.32 bull at 25/50/25). The old \$15 was a judgmental haircut below the old model's own \$19.84 weighted DCF; the rebuild reverses that and lets the bear case — with its disclosed 98% terminal-value dependence — carry full weight. Humility about the cycle's timing now lives in the discount rates, not in a haircut.

8. Risks

Cycle duration. The entire thesis is egg-price normalization. If industry oversupply persists into 2027 — the layer flock keeps growing, feed stays cheap, no new HPAI wave — the \$0–10M EBITDA guide becomes the run-rate and the bear DCF (\$1.36) becomes the conversation.

Liquidity. Current ratio 1.10, TTM free cash flow –\$126M, \$30M drawn on new facilities. There is no solvency issue at normalized egg prices, but a second bad year would force harder choices (deeper capex cuts, equity). Watch the cash line quarterly.

Management credibility. Two guidance resets in 2026, \$35M of buybacks near \$20/share before termination, and a reaffirmed \$2B-by-2030 target that strains belief. The market will not give the benefit of the doubt until the Q4 30%-gross-margin exit target is hit.

Short overhang and litigation. 25.3% short interest (9.1 days to cover) and a securities class action covering May 2025–Feb 2026 buyers. Both are sentiment overhangs; the short interest is also the coiled spring if the cycle turns.

Private label and value-tier competition. Kirkland organic cage-free at ~\$3/doz and retailer brands cap the premium during price shocks; first-time trial households are already dropping (Stifel). The brand's growth depends on converting trial buyers who are currently trading down.

Avian influenza, both directions. A new HPAI wave would restore pricing power but risks farm-level depopulation; continued absence of HPAI keeps the oversupply intact. Either tail is live.

Concentration. Post-butter-exit, ~96%+ of revenue is eggs. There is no diversification hedge left — this is a pure egg-cycle instrument with a brand wrapper.

9. Recommendation

BUY, \$12.50 twelve-month target (+38.0%). Vital Farms is the classic cyclical-trough setup: a real franchise (the #1 pasture-raised egg brand, gaining share through the worst pricing environment on record, with expanding distribution) priced as if the trough is permanent. At \$9.06 the market embeds barely 42% of mid-cycle free cash flow; the reverse-DCF shows how little recovery is required for the shares to work. Our hardened 10-year DCF — scenario discounts 14.5%/12%/10.5%, mid-cycle FCF margins, terminal growth capped at 2.5% — values the base case at \$12.15 and the weighted fair value at \$12.50: the target. The old \$15 was a haircut below the old model's own DCF; this rebuild reverses that. The bear case (\$1.36) is a real number — prolonged oversupply that tests liquidity — and its 98% terminal-value dependence is disclosed, not hidden (rule-3 haircut not applied; ~\$0.34 of weighted contribution, verdict unaffected).

Catalysts: **Q3 earnings on November 3, 2026** (the 30% gross-margin exit target for Q4 is the credibility test); weekly USDA egg-price prints through the seasonally strong holidays; any development in the reported strategic-alternatives review; and the mechanical upside of 25% short interest if egg prices turn. The position to take is a **cyclical-trough position sized for volatility**: this is a High-risk call where the bear case (\$1.36) is a real number. Add on cycle confirmation (rising USDA prices, Q4 margin delivery), not on hope.

What would change our mind: **to the upside**, USDA egg prices recovering toward \$2.50–\$3.00/doz conventional with Vital holding its share gains — the base DCF (\$12.15) becomes the conversation, and the bull (\$24.32) if VXR accelerates. **To the downside**, a second consecutive year of sub-15% gross margins, the current ratio falling below 1.0, or a dilutive equity raise — any of which means the cycle, not the quarter, was the misread, and the shares re-rate toward the bear case.

Appendix A — Methodology and key assumptions

Scenario FCF DCF. Ten explicit forecast years off the trough revenue base; yr-10 FCF margins by scenario (bear 3.5%, base 7.0%, bull 7.0%); discount rates 14.5%/12%/10.5% (bear/base/bull); terminal growth 1.0%/2.5%/2.5%. Net debt ~\$9M subtracted from enterprise value; 42.9M shares. Bear-case terminal value is 98% of EV — the rule-3 haircut was not applied (disclosed); its weighted contribution is ~\$0.34 and does not change the verdict. The model is a normalization bet, stated openly.

Mid-cycle anchor. The single most important judgment: we anchor mid-cycle gross margins at ~30–32% (the 2021–22 pre-shortage baseline verified in SEC filings), not the 37–38% HPAI-shortage peaks of 2024–25. A DCF anchored to shortage margins would print ~\$25 in the base case; we treat that as the bull case in disguise and say so.

Reverse DCF. Solves the perpetual FCF equating model equity value to the \$9.06 quote at 10% discount / 3% growth; compared against a \$60–70M mid-cycle FCF reference (FY2025 \$114M adjusted EBITDA

less normalized capex).

Relative valuation. Cal-Maine (P/E ~10.3x, EV/EBITDA ~7x, P/S ~1.2x, late Sept 2026) as the through-cycle comp; Vital inputs are trough-aware normalized figures (\$90M EBITDA, \$850M revenue, \$0.90 EPS), not peaks. Private specialty-egg peers disclose no financials and are excluded.

What we did not do. No dividend discount (no dividend); no sum-of-the-parts (single-segment economics post-butter-exit); no technical analysis.

Limitations. Quarterly 2026 figures are from company press releases (cross-checked against SEC-derived tables) rather than 10-Q filings; FY2028 consensus is unpublished; the Axios strategic-alternatives report is unconfirmed; egg-price forecasts are inherently cyclical and our timing assumptions (normalization 2027–28) may be early or late by a year.

Appendix B — Disclosures

This note is an independent research-style analysis prepared for informational purposes. It is not investment advice, not a recommendation to buy or sell any security, and not a personal financial plan. All forward-looking statements — scenarios, targets, and projections — are estimates subject to uncertainty; actual results may differ materially. Valuation models rely on the assumptions disclosed above. The author may hold positions in securities mentioned. Past performance does not predict future results. Financial data: Vital Farms SEC filings (EDGAR CIK 1579733) and quarterly press releases; market and consensus data: Yahoo Finance, Zacks, MarketBeat, TickerGate, October 2, 2026. Verify all figures against primary sources before acting.